

As retail investors,  
we need to identify  
the ongoing market  
phase along with the  
knowledge of the  
phase that will follow  
the current phase.

During the accumulation phase, we are aware that there is a lot of fear amongst retail investors, however, we must remember that it will be followed by a mark-up phase.

↖ Likewise, the distribution phase is excitement driven, but it will be followed by a decline.



It is important to note that in reality there are no clear boundaries between two market phases. So it is possible that when a market is in transition, we might not be able to clearly identify its current phase.